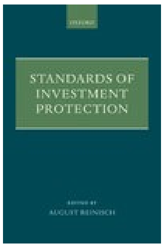

Standards of Investment Protection

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CHAPTER

6 Fair and Equitable Treatment Standard: Recent Developments

Katia Yannaca-Small

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Abstract

This chapter examines the fair and equitable treatment standard in investment treaties based on its position in the international law and based on the elements identified by arbitral tribunals as forming part of this standard. It suggests that the standard of fair and equitable treatment has acquired prominence in investment arbitration as a consequence of the fact that other standards traditionally provided by international law might not in the circumstances of each case be entirely appropriate. It argues that the fair and equitable treatment principle is particularly helpful in cases of non-traditional breaches of international law.

Keywords: fair and equitable treatment, investment treaties, international law, investment arbitration, arbitral tribunals

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A. Introduction

The fair and equitable treatment standard is still, to some, a mystifying legal term. Although it has been thoroughly examined, particularly in the last few years, it has not yet been entirely clarified. What is certain is that it is an 'absolute', 'non-contingent' standard of treatment, ie a standard that states the treatment to be accorded in terms which have their own normative content, though their exact meaning has to be determined by reference to specific circumstances of application, as opposed to the 'relative' standards embodied in 'national treatment' and 'most-favored-nation' principles which define the required treatment by reference to the treatment accorded to other investment in similar circumstances.[1] An absolute standard is one that has its own meaning, and is not necessarily satisfied by treating the investor as well as the host State treats its own nationals or other foreigners. Fair and equitable is a flexible, elastic standard, whose normative content is being constantly expanded to include new elements. Because of this flexibility, it is the most often invoked treaty standard in investor-State arbitration, present in almost every single claim brought by foreign investors against host States.

It has also been increasingly used as an alternative and more flexible way to provide protection to investors in cases where the test for indirect expropriation is too difficult to achieve since the threshold is quite high. It has therefore become a preferred way for tribunals to provide a remedy. As the tribunal in *Sempra v Argentina* said:

> It would be wrong to believe that fair and equitable treatment is a kind of peripheral requirement. To
> p. 112 the contrary, it ensures that even where there is no clear justification ↳ for making a finding of expropriation, as in the present case, there is still a standard which serves the purpose of justice and can of itself redress damage that is unlawful and that would otherwise pass unattended. […] It must also be kept in mind that on occasion the line separating the breach of the fair and equitable treatment standard from an indirect expropriation can be very thin, particularly if the breach of the former standard is massive and long-lasting.[2]

Some even call it 'expropriation light'. This 'invasive' character of fair and equitable treatment sometimes also takes over other investment protection standards such as full protection and security[3] and the obligation for non-arbitrariness and non-discrimination[4] (see below in Part C).

In the governmental context, negotiators of bilateral investment treaties have been inserting this standard in almost every single agreement they concluded since the 1960s and, before them, FCN negotiators had done the same as well.[5] The first time the concerned governments attempted to clarify the standard was in 1967, when they were negotiating the text of the draft OECD Convention on the Protection of Foreign Property[6]—they then linked it to the minimum standard of customary international law in an official commentary.[7] Later, in 1984, the same governments linked it to the general principles of international law without, however, giving further clarifications.[8] Discussions were revived in 2001,[9] in the aftermath of the *Metalclad* award.[10]

p. 113 This chapter will tackle the fair and equitable treatment standard from two angles: its position in the international law context; and the elements identified by arbitral tribunals as forming part of this standard.[11]

B. Does the Standard belong to a Specific Legal Order or is it an Autonomous Standard?

The fair and equitable treatment standard is included in almost all investment agreements and free trade agreements with investment chapters. A standard formulation without any reference to international law is:

> Investors and investments of each contracting party shall at all times be accorded fair and equitable treatment in the territory of the other contracting party.[12]

Sometimes there is reference to international law.[13] In the case of NAFTA,[14] the recent US[15] and Canada[16] Model BITs as well as the recent FTAs concluded by the three NAFTA countries,[17] the reference is, more specifically, to the minimum standard of customary international law:

> Each party shall accord at all times to covered investments fair and equitable treatment, in accordance with customary international law, including fair and equitable treatment and full protection and security.

Consequently, when tribunals are called upon to interpret the normative content of the fair and equitable standard in treaties which include explicit language linking or, in some cases limiting, fair and equitable
p. 114 treatment to the minimum standard of international customary law,[18] they have more limited options than ↳ tribunals which are interpreting the standard found in treaties which either link the standard to international law without specifying custom, or lack any reference to international law. The latter have given a broader scope to the standard than the minimum standard of treatment required by customary international law.

In the context of NAFTA, early arbitral tribunals, such as in the cases of *Metalclad v Mexico* [19] and *S.D. Myers v Canada*,[20] gave different interpretations of the 'fair and equitable' provision of Article 1105(1), establishing a breach of fair and equitable treatment standard based on the transparency[21] and national treatment provisions of the NAFTA, respectively. In order to clarify the interpretation of this provision, the NAFTA Free Trade Commission (FTC) issued a binding interpretation on 31 July 2001, according to which:

> Article 1105 (1) prescribes the customary international law minimum standard of treatment of aliens as the minimum standard of treatment to be afforded to investments of investors of another Party. The concepts of 'fair and equitable treatment' and 'full protection and security' do not require treatment in addition to or beyond that which is required by the customary international law minimum standard of treatment of aliens. A determination that there has been a breach of another provision of the NAFTA, or of a separate international agreement, does not establish that there has been a breach of Article 1105 (1).

Since then, all NAFTA tribunals have accepted this binding interpretation. However, some of them have gone further and stipulated that this acceptance goes with the understanding that the provision on the customary international law minimum standard of treatment refers to an evolving customary international law and not one frozen in time. In *Mondev v USA*,[22] the tribunal for instance in its famous holding stated that:

> […] the term 'customary international law' refers to customary international law as it stood no
> p. 115 earlier than the time at which NAFTA came into force. It is not limited to ↳ the international law of the 19th century or even of the first half of the 20th century, although decisions from that period remain relevant. In holding that Article 1105(1) refers to customary international law, the FTC interpretations incorporate current international law, whose content is shaped by the conclusion of more than two thousand bilateral investment treaties and many treaties of friendship and commerce. Those treaties largely and concordantly provide for 'fair and equitable' treatment of, and for 'full protection and security' for, the foreign investor and his investments.[23]

The tribunal in *ADF v USA* [24] expressed the view that:

> […] what customary international law projects is not a static photograph of the minimum standard of treatment of aliens as it stood in 1927 when the Award in the *Neer* case[25] was rendered. For both

> customary international law and the minimum standard of treatment of aliens it incorporates, are constantly in a process of development.[26]

This was also the understanding of the OECD governments, which independently of the way they interpret the 'fair and equitable treatment' standard, accept that the minimum standard refers to an evolving customary international law which is not 'frozen' in time, but may evolve depending on the general and consistent practice of states and *opinio juris*, as may be reflected in jurisprudence related to the interpretation and application of these treaties.[27]

Other tribunals, outside NAFTA, faced with investment agreements with no reference to international law, have most often interpreted the relevant provisions of the underlying agreement autonomously, relying on the treaty interpretation rules and international law more broadly.

The *Tecmed v Mexico* [28] tribunal for instance said that:

> […] the scope of the undertaking of fair and equitable treatment under Article 4(1) of the Agreement […] is that resulting from an autonomous interpretation, taking into account the text of Article 4(1) of the Agreement according to its ordinary meaning (Article 31(1) of the Vienna Convention), or from
p. 116 international law and the good faith ↳ principle, on the basis of which the scope of the obligation assumed under the Agreement and the actions related to compliance therewith are to be assessed.[29]

In *Siemens v Argentina*,[30] despite the fact that there was no reference to international law or to a minimum standard in the relevant treaty, the tribunal, in applying the treaty, considered itself:

> […] bound to find the meaning of these terms under international law bearing in mind their ordinary meaning, the evolution of international law and the specific context in which they are used.[31]

The *Enron v Argentina* [32] tribunal positioned the fair and equitable standard in the evolutionary context of international law:

> The evolution that has taken place is for the most part the outcome of a case by case determination by courts and tribunals, [partly hinging] on the gradual formulation of 'general principles of law'[33] […] in some circumstances, where the international minimum standard is sufficiently elaborate and clear, fair and equitable treatment might be equated with it. But in other vague circumstances, fair and equitable treatment may be more precise than its customary international law forefathers.[34]

It concluded that, in the specific context, it required a treatment additional to or beyond that of the customary international law.

The second tribunal in *Vivendi v Argentina*,[35] in its recent decision, saw no basis for limiting fair and equitable treatment to the customary international law minimum standard. According to the tribunal, the reference to the principles of international law in the France/Argentina BIT supports 'a broad reading that invites consideration of a wider range of international law principles'. It echoed the *Azurix* tribunal's holding that the requirement of conformity of the fair and equitable treatment standard to the principles of international law 'sets a floor not a ceiling on this standard'[36] in order to avoid a possible interpretation of the standard below what is required by international law. It also considers that contemporary principles of international law apply and not those of a century ago.[37]

The tribunal in *Sempra v Argentina* stated:

> It might well be that in some circumstances in which the international minimum standard is sufficiently elaborate and clear, the standard of fair and equitable treatment might ↳ be equated with it. But in other cases, it might as well be the opposite, so that the fair and equitable treatment standard will be more precise than its customary international law forefathers. On many occasions, the issue will not even be whether the fair and equitable treatment standard is different or more demanding than the customary standard, but only whether it is more specific, less generic and spelled out in a contemporary fashion so that its application is more appropriate to the case under consideration. This does not exclude the possibility that the fair and equitable treatment standard imposed under a treaty can also eventually require a treatment additional to or beyond that of customary law.[38]

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One of the few BIT tribunals which retained that the international law mentioned in the treaty is customary international law, is the tribunal in *M.C.I. Power Group L.C. v Ecuador*,[39] which held that:

> […] the international law mentioned in Article II of the BIT refers to customary international law, i.e. the repeated, general, and constant practice of States, which they observe because they are aware that it is obligatory.[40]

In real terms, what difference does it make if the fair and equitable treatment standard does or does not refer to the minimum standard? Some tribunals have questioned whether substantial differences result from this characterization.

In *Azurix v Argentina* [41] for instance, the tribunal did not consider it to be of material significance for its application of the standard of fair and equitable treatment to the facts of the case and held that:

> […] the question whether or not F&E treatment is or is not additional to the minimum treatment requirement under international law is a question about the substantive content of fair and equitable treatment and whichever side of the argument one takes, the answer to the question may in substance be the same.[42]

Similarly, the tribunal in *Saluka v The Czech Republic*,[43] referring to the controversy between the claimant and the respondent over this question, was of the view that:

> […] whatever the merits of the controversy between the parties may be, it appears that the difference between the treaty standard and the customary minimum standard, when applied to the specific facts of the case, may be more apparent than real.[44]

The acceptance of the evolutionary character of the minimum standard to include new elements as shaped by the over 2500 concluded BITs, as indicated ↳ by the *Mondev* and other tribunals, may be a path of convergence between the traditional expression of fair and equitable treatment as the minimum standard and new elements brought in a recurrent fashion by arbitral tribunals. Also, as the *Sempra* tribunal stated:

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> […] international law is itself not too clear or precise as concerns the treatment due to foreign citizens, traders and investors. This is the case because the pertinent standards have gradually evolved over the centuries. Customary international law, treaties of friendship, commerce and navigation, and more recently bilateral investment treaties, have all contributed to this development.[45]

C. What is the Normative Content of the Fair and Equitable Treatment Standard as it has been Formulated by Arbitral Tribunals?

The vagueness of the term, which some say is intentional to give tribunals the possibility to articulate the range of principles necessary to achieve the treaty's purpose in particular disputes, had raised some concern among governments that, the less guidance is provided for arbitrators, the more discretion is involved and the more closely the process resembles decisions *ex aequo et bono*, ie, based on the arbitrators' notions of 'fairness' and 'equity'.[46]

Experience has proven these concerns not to be entirely well founded. Tribunals have refrained from reasoning *ex aequo et bono* and have identified a certain number of recurrent elements which they consider as constituting the normative content of the fair and equitable treatment standard, according to the specific facts of each case. These elements can be analysed in four categories; (a) vigilance and protection; (b) due process including non-denial of justice; (c) lack of arbitrariness and non-discrimination; and (d) transparency and stability, including the respect of the investors' reasonable expectations.

Obligation of Vigilance and Protection

In a number of early decisions, the tribunals made reference to the obligation of vigilance, also phrased as an obligation to exercise due diligence in protecting foreign investment, in order to define an act or omission of the State as being contrary to fair and equitable treatment and full protection and security.[47] In these cases, the standards of 'fair and equitable treatment' and 'full protection and security' have been interlocking and examined together by tribunals. The latter standard, full protection and security, is often included in treaties as p. 119 a separate ↳ obligation and was applied in the past essentially when the foreign investment had been affected by civil strife and physical violence.

The obligation of vigilance has been considered a standard deriving from customary international law. Among the cases which equated the standards of fair and equitable treatment and full protection and security were: *Asian Agricultural Products Ltd (AAPL) v Sri Lanka*,[48] *American Manufacturing & Trading (AMT), Inc v Republic of Zaire*,[49] *Wena Hotels v Egypt*,[50] *Occidental v Ecuador*.[51] The latter tribunal held that 'a treatment that it is not fair and equitable automatically entails an absence of full protection and security' and considered a separate examination moot.[52]

The *Azurix* tribunal, however, found that the two standards were separate and also that the full protection and security standard went beyond physical violence and covered the obligation to create a secure investment environment.[53]

In *PSEG v Turkey*,[54] the tribunal held that the standard applied only exceptionally to legal security—and in this case was very similar to the fair and equitable treatment standard.[55]

Denial of Justice, Due Process

The only investment agreements which explicitly state the scope of application of the fair and equitable standard are the new US Model BIT and a number of US FTAs which stipulate that the obligation to provide fair and equitable treatment '[…] includes the obligation not to deny justice in criminal, civil, or administrative adjudicatory proceedings in accordance with the principle of due process embodied in the principal legal systems of the world […]'.[56]

A number of cases arise out of denial of justice[57] in the matter of procedure, some deficiency in the vindication, and enforcement of the investor's rights. The principle of 'denial of justice' has been considered as being part of

p. 120 customary international law. Most of the cases examined approach fair and equitable treatment in connection with the improper administration of civil and criminal ↳ justice as regards an alien, including denial of access to courts, inadequate and unjust procedures.

The tribunal in *Waste Management v Mexico* [58] defined a violation of fair and equitable treatment as '[…] involving a lack of due process leading to an outcome which offends judicial propriety—as might be the case with a manifest failure of natural justice in judicial proceedings […]'.[59]

In *Mondev v USA*,[60] the tribunal went on to apply the standard of denial of justice to the violation of the fair and equitable standard. In connection with whether the investor had the right to submit the claim to NAFTA tribunals, it stated:

> The Tribunal is thus concerned only with that aspect of the Article 1105(1) which concerns what is commonly called denial of justice, that is to say, with the standard of treatment of aliens applicable to decisions of the host State′s courts or tribunals.[61]

In *Loewen v USA*,[62] the tribunal considered 'manifest injustice in the sense of a lack of due process leading to an outcome which offends a sense of judicial propriety is enough'[63] to identify a breach of fair and equitable treatment.

In *Genin v Estonia*,[64] the tribunal took the position that, in order to amount to a violation of the BIT, any procedural irregularity that may have been present would have to amount to bad faith, a wilful disregard of due process of law or an extreme insufficiency of action.[65]

In *Thunderbird v Mexico*,[66] the tribunal viewed acts that would give rise to a breach of the minimum standard of treatment prescribed by NAFTA 'and customary international law as those that […] amount to a gross denial of justice or manifest arbitrariness falling below acceptable international standards'.[67]

Lack of Arbitrariness and Non-discrimination

Although most BITs include a separate provision on protection against arbitrary and discriminatory behaviour, some tribunals have interpreted lack of arbitrariness and non-discrimination as elements of the fair and equitable treatment standard.[68]

p. 121 In *CMS v Argentina*,[69] the tribunal linked the standard of protection against arbitrariness and discrimination to the fair and equitable treatment standard. According to its view, '[…] any measure that might involve arbitrariness or discrimination is in itself contrary to the fair and equitable treatment'.[70]

The *MTD v Chile*,[71] *PSEG v Turkey*,[72] and *Saluka v Czech Republic* [73] tribunals also declined to distinguish the two standards.

One tribunal which examined the two standards separately was the one in *LG&E v Argentina*,[74] which found that it was possible to violate one standard without violating the other: '[…] characterizing the measures as non-arbitrary does not mean that such measures are characterized as fair and equitable […]'.[75]

NAFTA does not include separate provisions on these elements and NAFTA tribunals have included them in their interpretation of fair and equitable standard.

In *S.D. Myers Inc. v Canada*,[76] the tribunal considered that a breach of Article 1105 occurs only when it is shown that an investor has been treated in such an unjust or arbitrary manner that the treatment rises to the level that is unacceptable from the international perspective.[77]

In *Waste Management v Mexico*,[78] the tribunal stated that: 'the minimum standard of treatment of fair and equitable treatment is infringed by conduct attributable to the State and harmful to the claimant if the conduct is arbitrary, grossly unfair, unjust or idiosyncratic, discriminatory' but it also added conduct that '[…] involves a lack of due process leading to an outcome which offends judicial property […]'.[79]

Transparency and Stability

The first reference to the principle of transparency, in particular with respect to administrative proceedings, as an element of the fair and equitable treatment was made by the *Metalclad* tribunal, while the tribunal in *Tecmed*
p. 122 substantiated ↳ this interpretation by putting it in the context of more concrete procedural principles and rights and expanding it to include the investor's legitimate expectations. This set a trend for subsequent tribunals to include the element of the investor's legitimate expectations as one of the main components of fair and equitable treatment. Its application tends to cover the regulatory experience as a whole, where stability and transparency are governmental promises upon which the investor relies for his investment. The principles of transparency, clarity, and stability[80] guide the process of both the definitions of the conditions of the 'legitimate expectations' principle and its application to the particular facts of a specific situation. Good faith, as the underlying principle, is guiding all of these obligations and as it has been commented, '[…] it is relied on as the common guiding beacon that will orient the understanding and interpretation of obligations […]'.[81]

Except for the *Genin* tribunal interpretation,[82] there is a common thread in the recent awards under NAFTA and BITs which do not require bad faith or malicious intention of the recipient State as a necessary element in the failure to treat investment fairly and equitably.

In *Metalclad v Mexico*,[83] the tribunal defined the concept of 'transparency' (stated in NAFTA Article 1802) as the idea that '[…] all relevant legal requirements for the purpose of investing should be capable of being readily known to all investors'.[84]

In *Tecmed v Mexico*,[85] the tribunal considered that:

> […] [this] provision of the Agreement, in light of the good faith principle established by international law, requires the Contracting Parties to provide to international investments treatment that does not affect the basic expectations that were taken into account by the foreign investor to make the investment. The foreign investor expects the host State to act in a consistent manner, free from
> p. 123 ambiguity and totally transparent in its ↳ relations with the foreign investor, so that it may know beforehand any and all rules and regulations that will govern its investments, as well as the goals of the relevant policies and administrative practices or directives, to be able to plan its investment and comply with such regulations.[86]

The stability of the host State's legal order with the existence of predictable and transparent rules and regulations and their consistent application enhance and promote legal security. This is in conformity with the object and purpose of international investment treaties, as stability, predictability, and consistency are necessary for investors in order to plan their investment according to the legal framework of the host country.

In *Occidental (OEPC) v Ecuador*,[87] the tribunal referred to the preamble of the US/Ecuador BIT and concluded that 'the stability of the legal and business framework is thus an essential element of fair and equitable treatment'[88] and that fair and equitable is an objective requirement that does not depend on whether the respondent has proceeded in good faith or not.[89]

In *CMS Gas Transmission Company v Argentina*,[90] the tribunal upheld CMS's claim for violations of fair and equitable treatment under Article II(2) of the US/Argentina BIT, noting that fair and equitable treatment is inseparable from stability and predictability and that there was no need to prove bad faith on the part of

Argentina. Rather, an objective assessment of whether the legitimate expectations of the investor were met could be made.[91]

In *LG&E v Argentina*,[92] citing previous awards that have adjudicated on the same fair and equitable standard according to this treaty or identical wording in other treaties, the tribunal acknowledged as well that 'the stability of the legal and business framework is an essential element on the standard of what is fair and equitable treatment'[93] and considered this interpretation to be an emerging standard of fair and equitable treatment in international law.

In *Enron v Argentina*,[94] the tribunal also concluded that a key element of fair and equitable treatment is the requirement of a 'stable framework for the investment' and in *Sempra* the tribunal affirmed that 'what counts is that in the end the stability of the law and the observance of legal obligations are assured, thereby safeguarding the very object and purpose of the protection sought by the treaty'.[95]

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Legitimate Expectations

Legal rules and regulations are only able to create the basis of an environment beneficial to long-term investment when they are applied according to how a reasonable investor would expect them to be applied. The investors′ perceptions and their expectations towards the government activity becomes an essential element of their perception of the host country′s ordering function of law. As mentioned above, the legitimate expectation principle became a recurrent, independent basis for a claim under the fair and equitable treatment standard. As Professor Wälde argued in his Separate Opinion in the *Thunderbird* case, such growth in scope and role '[…] is possibly related to the fact that it provides a more supple way of providing a remedy appropriate to the particular situation as compared to the more drastic determination and remedy inherent in the concept of regulatory expropriation'.[96] The statement confirms the findings of the *CMS* tribunal[97] which first examined the claim for expropriation and then turned to the legitimate expectation principle to provide protection to the investor. This approach suggests that obligations entailed in the expropriation clause and those of fair and equitable treatment do not necessarily differ in quality, but just in intensity.

In its concluding remarks on the standard, the *CMS* tribunal went so far as to state that the connection between fair and equitable treatment and stability, ie respect of investors′ legitimate expectations, 'is not different from the international law minimum standard' and it can thus be said to have acquired customary nature.[98]

In *Saluka v Czech Republic*,[99] the tribunal considered that the standard of 'fair and equitable treatment' is closely tied to the notion of legitimate expectations which, in its view, is the dominant element of that standard.

> […] An investor′s decision to make an investment is based on an assessment of the state of the law and the totality of the business environment at the time of the investment as well as on the investor′s expectation that the conduct of the host State subsequent to the investment will be fair and equitable.
>
> The standard of 'fair and equitable treatment' is therefore closely tied to the notion of legitimate expectations which is the dominant element of that standard. By virtue of the 'fair and equitable treatment' standard included in Article 3.1 the Czech Republic must therefore be regarded as having assumed an obligation to treat foreign investors so as to avoid the frustration of investors′ legitimate and reasonable expectations.[100]

p. 125 In *Siemens v Argentina*,[101] the tribunal also understood that the current standard includes the frustration of expectations that the investor may have legitimately taken into account when it made the investment.

> The purpose of the Treaty is to promote and protect investments. It would be inconsistent with such commitments and purpose and the expectations created by such a document to consider that a party

> to the Treaty has breached its obligation only when it has acted in bad faith […].[102]

In *ADF v USA*,[103] the tribunal discussed the claimant's expectation allegedly created by existing case law but it denied the existence of a 'legitimate expectation' in the particular case because the expectation was not created by 'any misleading representations made by authorised officials of the US federal government but rather, by legal advice received from private counsel'. The tribunal suggested, *a contrario*, that it is representations from authorized officials that provide the foundation for legitimate expectations if these representations reasonably become the basis for the investor's commitment of capital.[104]

The *Thunderbird* tribunal attempted to clarify the role to be played by the principle of legitimate expectations in the context of investment arbitration, particularly under the NAFTA. It is especially useful in providing a relatively concise description of the circumstances in which the principle will apply:

> […] the concept of 'legitimate expectations' relates, within the context of the NAFTA framework, to a situation where a Contracting Party's conduct creates reasonable and justifiable expectations on the part of an investor (or investment) to act in reliance on said conduct, such that a failure by the NAFTA Party to honour those expectations could cause the investor (or investment) to suffer damages.[105]

However, the tribunal did not elaborate on the precise role of the legitimate expectations principle in the context of investor-state arbitration.[106] In this respect, Professor Thomas Wälde in his separate opinion, was more precise by approaching the principle of legitimate expectations as forming a central part of the fair and equitable test under NAFTA Article 1105:

> One can observe over the last years a significant growth in the role and scope of the legitimate expectation principle, from an earlier function as a subsidiary interpretative principle to reinforce a
> p. 126 particular interpretative approach chosen, to its current role as a ↳ self-standing subcategory and independent basis for a claim under the 'fair and equitable standard' as under Art. 1105 of the NAFTA.[107]

But the threshold for such informal and general representations might be quite high. A legitimate expectation is assumed more readily if an individual investor receives specific formal assurances that visibly display an official character and if the official(s) perceive or should perceive that the investor intends, reasonably, to rely on such representation. The more specific the assurances that are given, the more likely they are to give rise to some basis for a legitimate expectation claim. As the *CMS* tribunal stated:

> It is not a question of whether the legal framework might need to be frozen as it can always evolve and be adapted to changing circumstances but neither is it a question of whether the framework can be dispensed with altogether when specific commitments to the contrary have been made. The law of foreign investment and its protection has been developed with the specific objective of avoiding such adverse legal effects.[108]

In *Parkerings-Compagniet AS v Republic of Lithuania*,[109] the tribunal reaffirmed that the principal basis for a legitimate expectation is an explicit promise or guaranty from the State:

> […] the expectation is legitimate if the investor received an explicit promise or guaranty from the host-State, or if implicitly, the host-State made assurances or representation that the investor took into account in making the investment. Finally, in the situation where the host-State made no assurance or representation, the circumstances surrounding the conclusion of the agreement are decisive to determine if the expectation of the investor was legitimate. In order to determine the legitimate expectation of an investor, it is also necessary to analyse the conduct of the State at the time of the investment.[110]

It concluded that, due to lack of specific demonstrations by the claimant that the modifications of laws were made specifically to prejudice its investment, the claim that the State acted unfairly, unreasonably, or inequitably in the exercise of its legislative power, could not be sustained.

Proportionality

For those who are concerned about possible abusive claims by investors of violation of their legitimate expectations and, consequently, the potential for abusive interpretation by tribunals—which might have a p. 127 chilling effect on the governments' exercise of regulatory power—it is worth looking at the balanced, ↳ proportionate positions taken by some recent tribunals which accompanied their interpretation with a proportionate clarification.

A number of tribunals have followed the *S.D. Myers* reasoning that the determination of a breach of the obligation of 'fair and equitable treatment' by the host State must be made in the light of the high measure of deference that international law generally extends to the right of domestic authorities to regulate matters within their own borders. Therefore, it should not be handled as an inflexible yardstick.

The tribunal in *Saluka* warned against the literal interpretation of the terms 'stability' and 'predictability' in the regulatory environment and noted that:

> […] if their terms were to be taken too literally, they would impose upon host States obligations which would be inappropriate and unrealistic. Moreover, the scope of the Treaty's protection of foreign investment against unfair and inequitable treatment cannot exclusively be determined by foreign investors' subjective motivations and considerations. Their expectations, in order for them to be protected, must rise to the level of legitimacy and reasonableness in light of the circumstances.[111]

It concluded that the determination of a breach of the fair and equitable treatment standard requires a weighing of the claimant's legitimate and reasonable expectations on the one hand and the respondent's legitimate regulatory interests on the other.[112]

The *LG&E* tribunal also followed the same line which includes a balancing approach that the host State's specific investment and regulatory environment must be taken into account when determining the fair and equitable treatment standard.

In *Enron*, the tribunal noted also that the stabilization requirement does not mean the freezing of the legal system or the disappearance of the regulatory power of the State.[113]

The tribunal in *MCI v Ecuador* considered as well that the investor's expectations of fair and equitable treatment and good faith, in accordance with the BIT, must be paired with a legitimate objective. The legitimacy of the expectations for proper treatment entertained by a foreign investor protected by the BIT does not depend solely on the intent of the parties, but on certainty about the contents of the enforceable obligations.[114]

In addition, there is a related trend recognizing that inherent business risks of an investment are to be borne by the investor and cannot be adjudicated under a treaty, which in the case of an investment in developing States, include acceptance of potentially less stable socio-economic and political environments.

p. 128 In *MTD v Chile*, the tribunal reduced by 50 per cent the damages awarded to MTD on account of business risk. It noted: '[…] BITs are not an insurance against business risk and the claimants should bear the consequences of their own actions as experienced businessmen'.[115]

The tribunal in *Parkerings v Lithuania* insisted on the shared responsibility between a State's actions and regulations and an investor's expectations. It recognized the State's 'undeniable right and privilege to exercise its sovereign legislative power' and 'to enact, modify or cancel a law at its own discretion'. It also stated that any businessman or investor knows that laws will evolve over time.[116] On the other hand, it recognized the right of the investor to a certain stability and predictability of the legal environment of the investment and the right of protection of its legitimate expectations provided it exercised due diligence and that its legitimate expectations were reasonable in light of the circumstances. However, an investor must anticipate that the circumstances could change, and thus structure its investment in order to adapt it to the potential changes of legal environment. What is prohibited is for a State to act unfairly, unreasonably, or inequitably in the exercise of its legislative power.[117]

In the case at hand, the tribunal noted that the investor, by deciding to invest notwithstanding a possible instability, took the *business risk* to be faced with changes of laws possibly or even likely to be detrimental to its investment although

> […] he could (and with hindsight should) have sought to protect its legitimate expectations by introducing into the investment agreement a stabilisation clause or some other provision protecting it against unexpected and unwelcome changes.

It then drew a line between contractual expectations and expectations under international law and concluded:

> It is evident that not every hope amounts to an expectation under international law. The expectation a party to an agreement may have of the regular fulfilment of the obligation by the other party is not necessarily an expectation protected by international law. In other words, contracts involve intrinsic expectations from each party that do not amount to expectations as understood in international law. Indeed, the party whose *contractual expectations* are frustrated should, under specific conditions, seek redress before a nationaltribunal.[118]

Professor Wälde, in his partial dissent in the *Thunderbird* case, also expressed the view that the disappointment of legitimate expectations must be sufficiently serious and material. Otherwise, any minor misconduct by a public official could p. 129 ↳ go to the jurisdiction of a treaty tribunal, whose function is not to act as a general-recourse administrative law tribunal.[119]

D. Conclusion

To use the words of the *PSEG* tribunal, the standard of fair and equitable treatment has acquired prominence in investment arbitration as a consequence of the fact that other standards traditionally provided by international law might not in the circumstances of each case be entirely appropriate.[120] This is particularly the case when the facts of the dispute do not clearly support the claim for direct expropriation, but when there are, nevertheless, events that appear to call for redress for the investor and need to be assessed under a different standard. Because the role of fair and equitable treatment changes from case to case, it is sometimes not as precise as would be desirable. Yet, it clearly does allow for justice to be done in the absence of the more traditional breaches of international law standards.

There is diversity in the way the 'fair and equitable treatment' standard is formulated in investment agreements. Because of the differences in its formulation, the proper interpretation of the 'fair and equitable treatment' standard depends on the specific wording of the particular treaty, its context, the object and purpose of the treaty, as well as on negotiating history or other indications of the parties' intent.

There is a debate about whether the fair and equitable treatment standard is part of the minimum standard of customary international law or is an autonomous standard. Because of NAFTA's language linking the fair and equitable treatment standard to the minimum standard and NAFTA Free Trade Commission's binding interpretation linking the minimum standard to customary international law, NAFTA tribunals follow this interpretation with the understanding, however, that the customary international law minimum standard of treatment refers to an evolving customary international law and not one frozen in time. On the other hand, BIT tribunals lean towards interpreting it more broadly as an autonomous standard going beyond the minimum standard. Some tribunals have questioned whether substantial differences result from this characterization.

An analysis of the opinions of the arbitral tribunals which have attempted to interpret and apply the 'fair and equitable treatment' standard identified a number of elements which, singly or in combination, have been treated as encompassed in the standard of treatment: (a) the obligation of vigilance and p. 130 ↳ security which usually interacts with the standard of full protection and security; (b) denial of justice and due diligence; (c) protection against arbitrariness and discrimination, which often tends to override specific treaty provisions on arbitrariness and non-discrimination; and (d) transparency, stability, and the investor's legitimate expectations.

The investor's legitimate expectations has emerged as a recurrent essential element of the fair and equitable treatment standard. The principle, traditionally related to transparency, can also be considered a further development of the concepts of stability and predictability. It has often been applied as a more supple way of providing a remedy appropriate to a particular situation as compared to the more drastic determination and remedy inherent in the concept of regulatory expropriation. It relates in particular to specific assurances of an official character given to the investor—either through laws and regulations or other administrative acts—and the host State's officials' perception that the investor intends, reasonably, to rely on such representation. Most tribunals have adopted a proportionate approach and agree that the disappointment of legitimate expectations must be sufficiently serious and material and that the investor should bear the inherent business risks of his investment.

Transparency, stability, and legitimate expectations are, among the interpretative elements of fair and equitable treatment, the only ones not 'well grounded' in customary international law but which emerge from general principles and the recurrent opinion of arbitral tribunals in the last few years. It is too early to say whether we are witnessing a sign of evolution of the international custom as it is also too early to establish a definitive list of elements for the interpretation of the 'fair and equitable treatment' standard since the jurisprudence is still constantly evolving.

Notes

* The views expressed in this chapter are those of the author and cannot be construed as reflecting the views of the OECD or of this organization's member governments.

1 A.A. Fatouros, *Government Guarantees to Foreign Investors* (1962) 135–141, 214–215; UNCTAD, *Bilateral Investment Treaties in the Mid 1990s* (1998).

2 *Sempra Energy v The Argentine Republic*, ICSID Case No. ARB/02/16, 28 September 2007, paras 300, 301.

3 See G. Cordero Moss at Chapter 7 below.

4 See Veijo Heiskanen at Chapter 5 above.

5 K. Vandevelde 'The Bilateral Treaty Program of the United States', 21 *Cornell International Law Journal* (1988) 201–276; S. Vasciannie, 'The Fair and Equitable Treatment Standard in International Investment Law and Practice', 70 *British Yearbook of International Law* (2000) 99–164. 10.1093/bybil/70.1.99

6 Draft Convention on the Protection of Foreign Property and Resolution of the Council of the OECD on the Draft Convention (1967), 13–15.

7 'The phrase "fair and equitable treatment", customary in relevant bilateral agreements, indicates the standard set by international law for the treatment due by each State with regard to the property of foreign nationals. The standard requires that—subject to essential security interests—protection afforded under the Convention shall be that generally accorded by the Party concerned to its own nationals, but, being set by international law, the standard may be more exacting where rules of national law or national administrative practices fall short of the requirements of international

law. The standard required conforms in effect to the "minimum standard" which forms part of customary international law', OECD Notes and Comments to Article 1, 2 *ILM* (1963) 241.

8 Intergovernmental Agreements Relating to Investment in Developing Countries (OECD 1984).

9 The discussions demonstrated that not all 'investor-home' governments in their negotiations had entirely grasped the real nature of the standard. Some had rarely given a second thought to its potential breadth, perhaps because they saw themselves as essentially capital exporters and not importers and wished the standard to be as protective as possible. As it was the case with the majority of BIT provisions, second thoughts only began to arise when arbitral tribunals began to shed light on these provisions.

10 *Metalclad Corporation v Mexico*, ICSID Case No. ARB(AF)/97/1, Award, 30 August 2000.

11 C. Schreuer, 'Fair and Equitable Treatment', 2(5) *Transnational Dispute Management* (2005); C. Schreuer, 'Fair and Equitable Treatment (FET): Interaction with Other Standards', 4(5) *Transnational Dispute Management* (2007); S. Schill, 'Fair and Equitable Treatment under Investment Treaties as an Embodiment of the Rule of Law', 3(5) *Transnational Dispute Management* (2006); R. Dolzer, 'Fair and Equitable Treatment: A Key Standard in InvestmentTreaties', 39 *The International Lawyer* (2005) 87; K. Yannaca-Small, 'Fair and Equitable Treatment in International Investment Law', in OECD, *International Investment Law: A Changing Landscape* (2005); UNCTAD, above n. 1.

12 Treaties concluded by the Netherlands, Sweden, Switzerland, and Germany. For example, the German Model BIT states: 'Each Contracting Party […] shall in any case accord such investments fair and equitable treatment' and the Swiss Model BIT states: 'Investments and returns of investors of each Contracting Party shall at all times be accorded fair and equitable treatment […]'; see UNCTAD, above n. 1.

13 See France Model BIT (2006).

14 Article 1105(1) NAFTA (2004).

15 US Model BIT (2004).

16 Canada Model FIPA (2004).

17 US/Chile FTA; US/Australia FTA; US/CAFTA-DR FTA; US/Morocco FTA; US/Singapore FTA; US/Peru FTA; Mexico/Japan FTA (2004).

18 The international minimum standard is a norm of customary international law which governs the treatment of aliens, by providing for a minimum set of principles which States, regardless of their domestic legislation and practices, must respect when dealing with foreign nationals and their property. While the principle of national treatment foresees that aliens can only expect equality of treatment with nationals, the international minimum standard sets a number of basic rights established by international law that States must grant to aliens, independent of the treatment accorded to their own citizens. Violation of this norm engenders the international responsibility of the host State and may open the way for international action on behalf of the injured alien provided that the alien has exhausted local remedies. The classical monograph on the principle is A.H. Roth, *The Minimum Standard of International Law Applied to Aliens* (1949) 127, where it is defined as follows: '[…] the international standard is nothing else than a set of rules, correlated to each other and deriving from one particular norm of general international law, namely that the treatment of alien is regulated by the law of nations.' See Yannaca-Small, above n. 11.

19 *Metalclad Corporation v Mexico*, above n. 10.

20 *SD Myers, Inc v Canada*, UNCITRAL (NAFTA), Award (Merits), 13 November 2000.

21 Mexico, in its defence, supported that transparency is a conventional law concept which has been developed in international trade law (Article X GATT), not the body of international investmentprotection law from which the concept of minimum standard of treatment expressed in Article 1105 NAFTA has been derived.

22 *Mondev International Ltd v United States of America*, ICSID Case No. ARB(AF)/99/2, Award, 11 October 2002.

23 Ibid., para. 125.

24 *ADF Group Inc. v United States* (NAFTA Arbitration), ICSID Case No. ARB (AF)/00/1, Final Award, 9 January 2003.

25 This decision on the *Neer Claim* became the landmark case for the international minimum standard. This claim was presented to the US-Mexico Claims Commission by the United States on behalf of the family of Paul Neer, who had been killed in Mexico in obscure circumstances. In what has become a classical *dictum*, the Commission expressed the concept as follows: '[…] the propriety of governmental acts should be put to the test of international standards … the treatment of an alien, in order to constitute an international delinquency should amount to an outrage, to bad faith, to willful neglect of duty, or to an insufficiency of governmental action so far short of international standards that every reasonable and impartial man would readily recognize its insufficiency. Whether the insufficiency proceeds from the deficient execution of a reasonable law or from the fact that the laws of the country do not empower the authorities to measure up to international standards is immaterial', *Neer v Mexico*, 15 October 1926, 4 *UNRIAA* 60.

26 *ADF Group Inc v United States*, above n. 24, para. 179.

27 See Yannaca-Small, above n. 11, including conclusions of the discussions.

28 *Técnicas Medioambientales Tecmed, S.A. v United Mexican States*, ICSID Case No. ARB(AF)/00/2, Award, 29 May 2003.

29 Ibid., para. 155.

30 *Siemens A.G. v Argentina*, ICSID Case No. ARB/02/08, Award, 6 February 2007.

31 Ibid., para. 291.

32 *Enron Corporation and Ponderosa Assets, L.P. v Argentine Republic*, ICSID Case No. ARB/01/3, Award, 22 May 2007.

33 Ibid., para. 257.

34 Ibid., para. 258 (footnote added).

35 *Compañiá de Aguas del Aconquija S.A. and Vivendi Universal v Argentine Republic*, ICSID Case No. ARB/97/3, Award, 20 August 2007.

36 *Azurix v Argentine Republic*, ICSID Case No. ARB/01/12, Award, 14 July 2006, para. 361.

37 *Vivendi v Argentine Republic*, above n. 35, para. 7.4.7.

38 *Sempra Energy v The Argentine Republic*, above n. 2, para. 302.

39 *MCI Power Group L.C. and New Turbine, Inc. v Ecuador*, ICSID Case No. ARB/03/6, Award, 31 July 2007.

40 Ibid., para. 369.

41 *Azurix v Argentine Republic*, above n. 36.

42 Ibid., para. 364.

43 *Saluka Investments BV (The Netherlands) v The Czech Republic*, Partial Award, 17 March 2006.

44 Ibid. para. 291.

45 *Sempra Energy v The Argentine Republic*, above n. 2, para. 296.

46 Yannaca-Small, above n. 11.

47 For a comprehensive discussion on this standard, see Cordero Moss at Chapter 7 below.

48 *Asian Agricultural Products Ltd (AAPL) v Republic of Sri Lanka*, ICSID Case No. ARB/87/3, Award, 27 June 1990.

49 *American Manufacturing & Trading, Inc. (AMT) v Republic of Zaire*, ICSID Case No. ARB/93/1, Award, 21 February 1997.

50 *Wena Hotels Limited v Arab Republic of Egypt*, ICSID Case No. ARB/98/4, Award, 8 December 2000.

51 *Occidental Exploration and Production Company v Republic of Ecuador*, LCIA No. UN 3467, Award, 1 July 2004.

52 Ibid., para. 187.

53 *Azurix v Argentine Republic*, above n. 36, para. 408.

54 *PSEG Global et al. v Republic of Turkey*, ICSID Case No. ARB/02/5, Award, 19 January 2007.

55 Ibid., para. 259.

56 See Article 5(2)a US Model BIT (2004).

57 For a comprehensive analysis see J. Paulsson, *Denial of Justice in International Law* (2005) 10.1017/CBO9780511494420 .

58 *Waste Management, Inc. v United Mexican States*, ICSID Case No. ARB(AF)/00/3, Award, 30 April 2004.

59 Ibid., para. 98.

60 *Mondev International Ltd v United States of America*, above n. 22.

61 Ibid., para. 96.

62 *The Loewen Group, Inc. and Raymond L. Loewen v United States*, Final Award, 26 June 2003.

63 Ibid., para. 132.

64 *Alex Genin et al. v Estonia*, ICSID Case No. ARB/99/2, Final Award, 25 June 2001.

65 Ibid., para. 371.

66 *International Thunderbird Gaming Corporation v Mexico*, UNCITRAL (NAFTA), Award, 26 January 2006.

67 Ibid., para. 194.

68 See Veijo Heiskanen at Chapter 5 above. See also C. Schreuer, 'Fair and Equitable Treatment (FET): Interaction with Other Standards', 4(5) *Transnational Dispute Management* (2007).

69 *CMS Gas Transmission Company v The Argentine Republic*, ICSID Case No. ARB/01/8, Award, 12 May 2005.

70 Ibid., para. 290.

71 *MTD Equity Sdn. Bhd. and MTD Chile S.A. v Republic of Chile*, ICSID Case No. ARB/01/7, Award, 25 May 2004.

72 *PSEG v Turkey*, above n. 54.

73 *Saluka v The Czech Republic*, above n. 43. The tribunal agreed with *SD Myers, Inc. v Canada*, above n. 20, that 'an infringement of the fair and equitable standard requires treatment in such an unjust or arbitrary manner that the treatment rises to the level that is unacceptable from the international perspective'.

74 *LG&E Energy Corp, LG&E Capital Corp and LG&E International Inc. v Argentine Republic*, ICSID Case No. ARB/02/1, Decision on Liability, 3 October 2006.

75 Ibid., para. 162.

76 *S.D. Myers Inc. v Canada* (UNCITRAL), First Partial Award, 13 November 2000.

77 Ibid., para. 263.

78 *Waste Management, Inc. v United Mexican States*, above n. 58.

79 Ibid., para. 98.

80 It is worth noting that transparency is favoured and advocated by an increasing number of governments. In the context of international organizations, such as the OECD for instance, these governments acknowledge through soft law the importance of transparency and a stable investment environment for national and foreign investors alike. In the OECD Policy Framework for Investment, developed by both developed and developing country governments and put into application by a number of developing countries, governments stipulate that: 'Transparency, property protection and non-discrimination are investment policy principles that underpin efforts to create a sound investment environment for all. Transparent information on the way governments implement and change rules and regulations dealing with investment is a critical determinant in the investment decision. Transparency and predictability is important for foreign investors who may have to function with very different regulatory systems, cultures and administrative frameworks from their own. Transparency and predictability help to improve the investment environment, because they reduce the risk of inconsistent application of laws and regulations and lower uncertainty faced by investors and others.'

81 See Dolzer, above n. 11.

82 *Genin. v Estonia*, above nn. 64, 66.

83 *Metalclad Corporation v Mexico*, above n. 10.

84 Ibid., para. 76.

85 *Tecmed v United Mexican States*, above n. 28.

86 Ibid., para. 154.

87 *Occidental v Republic of Ecuador*, above n. 51.

88 Ibid., para. 183.

89 Ibid., para. 186.

90 *CMS Gas Transmission Company v The Argentine Republic*, above n. 69.

91 Ibid., para. 274.

92 *LG&E v Argentine Republic*, above n. 74.

93 Ibid., para. 124.

94 *Enron Corporation v Argentine Republic*, above n. 32.

95 Sempra Energy v The Argentine Republic, above n. 2, para. 300.

96 *International Thunderbird Gaming Corporation v Mexico*, Separate Opinion (Dissent in Part) by Professor Thomas Wälde, 26 January 2006, para. 37.

97 *CMS Gas Transmission Company v The Argentine Republic*, above n. 69.

98 Ibid., para. 284.

99 *Saluka v The Czech Republic*, above n. 43.

100 Ibid., paras 301–302.

101 *Siemens A.G. v Argentina*, above n. 300.

102 Ibid., para. 300.

103 *ADF Group Inc v United States*, above n. 24.

104 Ibid., para. 189.

105 *International Thunderbird Gaming Corporation v Mexico*, above n. 66, para. 147.

106 For a more detailed analysis and comments on the *Thunderbird* case see S. Fietta, 'International Thunderbird Gaming Corporation v. The United Mexican States: An Indication of the Limits of the "Legitimate Expectation" Basis of Claim under Article 1105 of NAFTA?', 3(2) *Transnational Dispute Management* (2006).

107 *International Thunderbird Gaming Corporation v Mexico*, Separate Opinion, above n. 96, para. 37.

108 *CMS Gas Transmission Company v The Argentine Republic*, above n. 69, para. 277.

109 *Parkerings-Compagniet AS v Lithuania*, ICSID Case No. ARB/05/8, Final Award, 11 September 2007.

110 Ibid., para. 331.

111 *Saluka v The Czech Republic*, above n. 43, para. 304.

112 Ibid., para. 306.

113 *Enron Corporation v Argentine Republic*, above n. 32, para. 261.

114 *MCI Power Group v Ecuador*, above n. 39, para. 278.

115 *MTD Equity Sdn. Bhd and MTD Chile S.A. v Republic of Chile*, above n. 71, para. 178.

116 *Parkerings-Compagniet AS v Lithuania*, above n. 109, para. 332.

117 Ibid., para. 333.

118 Ibid., para. 344.

119 *International Thunderbird Gaming Corporation v Mexico*, Separate Opinion, above n. 96, para. 14.

120 *PSEG v Turkey*, above n. 54, para. 238.